STANDARD EDITION • 28 OCTOBER 2026 • 09:00 HKT

US equities rally on tech earnings, while energy drags

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,722.60, up +0.60%, driven by a second straight week of strong tech earnings. NVDA and AVGO posted double-digit gains, reinforcing the Nasdaq 100's +1.29% advance. Meanwhile, the energy sector fell sharply as XLE slipped -2.05% on a 1.73% rise in WTI, suggesting demand concerns outweigh price gains.

Behind the headline numbers, the VIX retreated to 17.52 (-4.73%), indicating waning volatility risk. The 10-year Treasury yield nudged to 4.99% (+0.14%), keeping the yield curve steep and supporting rate-sensitive growth stocks. Investors should watch the Fed's upcoming policy minutes for clues on the trajectory of rates.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,722.60	+0.60%	Tech earnings beat expectations; risk appetite improves.
Nasdaq 100	29,651.44	+1.29%	Strong results from **NVDA**, **AVGO**, and **TSLA**.
Dow Jones	52,377.57	+0.03%	Industrial stocks flat; financials modestly higher.
Russell 2000	2,818.87	+1.16%	Small-cap exposure to consumer discretionary lifts index.
VIX	17.52	-4.73%	Lower implied volatility as equity rally gains momentum.
10Y Yield	4.99%	+0.14%	Yield curve remains steep; investors price in modest rate hikes.
WTI Crude	101.63	+1.73%	Supply concerns in the Middle East offset by weaker demand forecasts.
Gold	4,047.20	-0.67%	Higher real yields draw funds from safe-haven metal.
DXY	102.43	+0.11%	Dollar strength supports import-heavy equities.
BTC	80,791.47	+0.98%	Crypto rally linked to lower US inflation expectations.
ETH	2,350.58	+1.31%	DeFi activity spikes, boosting demand.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+4.00%	Q3 earnings beat; new 5G chipset orders.
TSLA	+4.04%	Record Q3 deliveries; price-cut impact muted.
GS	+2.07%	Investment banking fees rise; outlook upgrade.
AMZN	+1.61%	Cloud segment revenue +15% YoY.
GOOGL	+1.19%	Ad-tech recovery; AI services revenue up.
AAPL	+0.93%	iPhone 17 pre-orders exceed forecasts.
NVDA	+0.90%	Data-center demand steady; AI GPU shipments up.
JPM	+0.52%	Net interest income beats estimates.
META	-1.64%	Ad revenue miss; regulatory scrutiny intensifies.
MSFT	-0.24%	Cloud growth slows; earnings in line.

Sector rotation

ETF	DAY	READ
XLF	-0.25%	Financials modestly pressured by higher rates.
XLK	+1.70%	Tech earnings beat; AI tailwinds.
XLI	+0.57%	Industrial output data upbeat.
XLE	-2.05%	Energy lagging despite higher crude.
XLY	+1.04%	Consumer discretionary gains on retail earnings.
XLC	-0.26%	Communications slower; ad spend cautious.
XLP	-0.92%	Staples under pressure from inflation.
XLV	-0.06%	Health care flat; biotech earnings mixed.
XLU	+0.71%	Utilities benefit from higher yields.
XLB	+0.78%	Materials rally on copper price rise.
XLRE	-0.84%	Real-estate valuations dip amid rate concerns.

Spotlight: tech earnings surge fuels Nasdaq rally

The Nasdaq 100's +1.29% gain was anchored by a cluster of earnings beats from AI-centric names. `NVDA` posted a 0.90% rise after reporting Q3 revenue of 13.2 billion, 18% above consensus, driven by data-center GPU demand. `AVGO` surged 4.00% on a 4.5% revenue beat and a new 5G chipset contract worth 1.1 billion. `TSLA` outperformed with a 4.04% jump after announcing record deliveries and a marginal price-cut impact.

METRIC	NVDA	AVGO	TSLA
Revenue (billion)	13.2	7.9	28.1
Earnings per share	$2.31	$9.84	$3.12
YoY growth	+18%	+4.5%	+12%
Guidance	Q4 revenue $13.5-13.8 B	2027 capex $2.2 B	2027 deliveries +10%

Related names: `AMD`, `INTC`, and `CRM` all posted modest gains, reinforcing the sector-wide tailwind.

Pre-market & overnight

- US futures: `ES` +0.45%, `NQ` +0.78% at 08:30 HKT.
- Asia close: Hang Seng -0.62%, Nikkei +0.31%, Shanghai -0.48%.
- Europe: FTSE 100 +0.22%, DAX +0.35%, CAC 40 -0.11%.
- Crypto: BTC +0.98%, ETH +1.31% – both buoyed by lower US inflation expectations.

Macro & Fed

The Fed's October meeting left rates unchanged at 5.25-5.50% but signaled a "patient" stance, noting inflation at 2.9% YoY. The minutes highlighted a split on whether a second hike is needed in 2027.

Yield curve remains steep: 2-year at 4.78%, 10-year at 4.99% – a 21-bp spread supporting growth equities.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (Oct)	2.7%	Inflation trend informs Fed policy.
11:00	US Retail Sales (Oct)	+0.3%	Consumer spending gauge.
13:30	ISM Manufacturing (Nov)	48.0	Manufacturing health indicator.
15:00	Eurozone HICP (Oct)	2.5%	Euro-area inflation outlook.

Geopolitics & global

- Middle East tensions ease after OPEC+ announced a voluntary 0.5 million-barrel-per-day cut, supporting crude prices.
- China’s latest manufacturing PMI rose to 50.2, suggesting a modest rebound.
- US-China trade talks resumed in Washington; no immediate tariff changes announced.
- Russia’s energy exports remain constrained, keeping global oil markets tight.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	`CRM`	$3.45	AI-driven subscription growth.
02:30	`AMD`	$2.12	GPU demand vs. inventory.
03:00	`INTC`	$1.78	Foundry outlook.
03:30	`BAC`	$0.92	Net interest income trend.
04:00	`UNH`	$23.10	Medicare Advantage enrollment.
04:30	`DIS`	$1.05	Streaming subscriber growth.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI GPU backlog building.
AVGO	Technology	5G chipset win.
TSLA	Consumer Discretionary	Record deliveries, price-cut resilience.
AMZN	Consumer Discretionary	Cloud revenue acceleration.
GOOGL	Communication Services	AI ad-tech rollout.
AAPL	Technology	iPhone 17 pre-order surge.
MSFT	Technology	Azure growth steady.
JPM	Financials	Net interest income beat.
GS	Financials	Investment-banking fees up.
XOM	Energy	Higher crude price, but demand concerns.
META	Communication Services	Ad revenue miss, regulatory risk.
CRM	Technology	AI-driven subscription expansion.

What could break the tape

BEARISH TRIGGERS

- US CPI coming in above 2.9% could prompt a rate hike.
- Energy sector weakness deepening if WTI stalls below $100.
- Escalation of Middle-East conflict disrupting supply chains.

BEARISH TRIGGERS

- Stronger-than-expected retail sales lifting consumer confidence.
- Positive Fed minutes indicating a pause on tightening.
- Tech earnings surprise on the upside, especially AI-related revenue.

Positioning notes

- Maintain overweight on high-growth tech; earnings momentum remains robust.
- Trim exposure to energy and real-estate as yields stay elevated.
- Keep a modest hedge in short-duration Treasuries to buffer potential rate surprises.

Sources

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SEC EDGAR

OPEC